Economics, TCO, Vendors & Procurement

1. Why AI business cases die in finance review

- Benefits stated as single points instead of ranges
- Baselines never measured
- Costs missing their biggest lines (especially change management)
- Benefits no owner will sign for

Finance's real question isn't 'is the number big?' but 'can I trust the person who built this?'.

2. The business case that survives

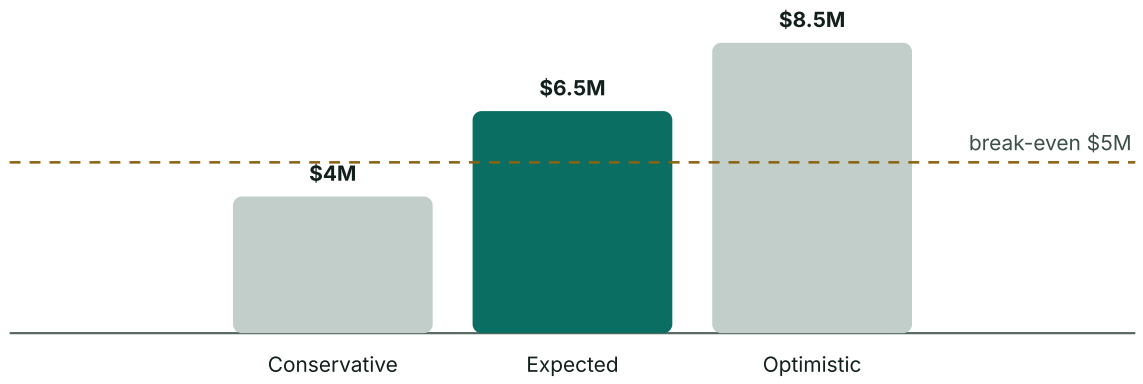
1 **Baseline first**: measure today's process (minutes per ticket, cost per document) before promising to improve it

2 **Benefits as ranges with owners**: conservative / expected / optimistic, each assumption named, signed by the P&L owner who'll bank it

3 **Full costs**: build, run (tokens × volume × language multiplier), integration, **change & enablement**, evals and governance, ongoing operations

4 **Sensitivity**: show which assumption moves the answer most (usually adoption or deflection rate, almost never token price) and its break-even value

✎ DIAGRAM



Show a range with a break-even line: 'it works as long as adoption is above X'.

3. 'AI is too expensive'

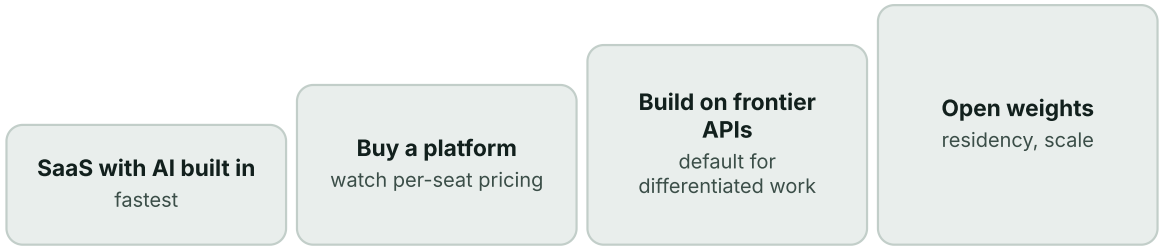
- Reframe from sticker price to **unit economics**: cost per resolved ticket or per analyst-hour saved, compared with today
- Most 'too expensive' AI is **unoptimised** AI: no caching, no routing, verbose outputs

4. Tech case maths

- **TCO** = purchase or build + implementation + training + ongoing run and support
- **ROI** = (benefit − cost) ÷ cost
- **Payback** = upfront cost ÷ annual savings (e.g. $6M upfront, $4M/year saved → 1.5 years = 18 months)

5. The build-buy ladder

✎ DIAGRAM



Moving up: more control and effort, less lock-in to a vendor's roadmap.

Buy what's commodity, build what's differentiating.

- Tiebreaker: is the capability **differentiating**? Buy commodity (meeting notes, generic copilots); build what encodes your process, data or customer advantage
- Stress-test any usage-priced vendor at **5× projected volume**

6. What to negotiate

- **Data terms**: a DPA, no-training commitment, retention, residency
- **Model lifecycle**: deprecation notice and migration support
- **SLAs**: uptime, rate limits, incident response · **Exit**: data export, transition help
- Score vendors on **your own evals**, never their demo, with a written scorecard (capability, cost at volume, data terms, roadmap, lock-in)

SAY IT

"I'd build the case from a measured baseline, show benefits as a range signed by an owner, include change management as a cost line, and show the break-even on adoption."